

A FINANCIAL JOURNALIST COMES CLEAN

Many readers think I'm holding out on them. "Sure, you recommend index funds in your book," they tell me, "but what investments do you *really* like?" People believe there's an insider trick to investing, and that if only they knew the truth they'd strike it rich. Various financial magazines feed into that dream by promising big returns with every issue—if you follow their sage advice. But just how good are their stock tips?

Back in 1994, before I found index fund religion, I was asked to write a cover story for *Money* magazine called "Eight Investments that Never Lose Money." Being a diligent reporter, I did a thorough search of investments, and interviewed dozens of Wall Street gurus to determine which stocks were expected to continue to do well.

How did the advice pan out? If you had spread out \$10,000 among the eight investments I recommended, you would have \$31,993 today. Not too shabby, and it's true that my recommendations didn't lose money. But if you had simply put that cash in an S&P 500 index fund, you would have beaten *Money's* hand-picked portfolio an astounding 13 out of 15 years. And you wouldn't have had to spend all the time and effort to do the research.

The bottom line: Go with index funds.

But don't expect to hear this from a salesperson at a brokerage firm or mutual fund company. Higher expenses may be bad for you, but they're great for the companies that offer actively managed funds. (I'll say more about fund expenses later in this chapter.)

Questions and Answers on Stock Funds

Q: If the market is tanking, wouldn't I be best off choosing a top-performing actively managed stock fund?

A: Yes, if you knew which funds were going to perform well in the future. But you don't. If there's any advantage at all to betting on past winners, it's probably not large enough to justify paying the higher fees that active managers charge. In fact, David Swensen, the chief investment